



IT IS THE best of times, it is the worst of times. It is the age of a rally in air travel, it is the age of runaway fuel prices. It is the era of growth returning to Indian aviation, it is the era of high operational costs delaying recovery. In short, we'll know if India's airline sector—which contributes an estimated \$72 billion to the country's GDP—flies high again even as the great battle for the skies unfolds in the months ahead.

What's the big deal? Only 4 per cent of India's 1.38 billion people have taken a flight to date, so there's much room for growth. "We believe there is a huge market waiting to be tapped. It has a lot of potential and space for everyone," says Ronojoy Dutta, CEO of IndiGo, India's largest carrier. Avers Vinod Kannan, CEO of full-service carrier (FSC) Vistara, a joint venture between Tata Sons and Singapore Airlines (SIA): "The potential it has is very different from most countries in Southeast Asia. The closest perhaps is Indonesia, which is a market of about 250-300 million people, with a lot of young people wanting to travel. But the scale of the Indian aviation market is second to none."

The father of Indian low-cost aviation, Air Deccan Founder G.R. Gopinath, feels the government should bring in reforms and incentives to make travel affordable and thereby boost the industry: "These incentives and reforms and lowering barriers will have to be done comprehensively across the entire sector—aviation fuel, GST and lease taxes, customs, airports and so forth."

FY21 was a particularly challenging period for the industry. Amid the pandemic, the financial loss to Indian carriers was approximately ₹19,000 crore, while for Indian airports, it was around ₹3,400 crore. Domestic air passenger traffic declined by 61.7 per cent in 2021.

As the impact of the pandemic ebbs, one of the world's most competitive airline markets is gearing up for another

dogfight. And the two biggest protagonists in this battle are IndiGo, with 51.3 per cent market share, and the Tatas, with a combined 26.6 per cent share across four airlines.

Market leader IndiGo sounded the bugle in right earnest in February, by appointing Promoter Rahul Bhatia to the role of Managing Director to make the airline "future ready" for competition.

In 2006, Bhatia and aviation industry veteran Rakesh Gangwal had set up what has since become India's most successful low-cost carrier (LCC). With more than three decades in the travel industry, Bhatia is known to be very thorough with all aspects of the aviation business. People know him as an astute businessman who believes in getting the best talent to work with IndiGo. Aviation industry insiders point out how he firmly supported Gangwal in laying a rock-solid foundation for the company, while he himself managed the policy environment to ensure a smooth take-off for the carrier. The teamwork eventually resulted in the airline placing an order for 100 A320 aircraft with Airbus a year ahead of the launch. A few years ago, when an acquaintance texted Bhatia to congratulate him for making it to the list of the top Indian billionaires, he called back to say: "Wealth comes and goes... It's far more important to build a sustainable brand based on sound work ethics."

This isn't the first time Bhatia has returned to the cockpit. In 2018, when then CEO Aditya Ghosh abruptly quit, he took charge as interim CEO. As MD, he will focus on piloting the airline's domestic and international business strategies as well as retaining its leadership position.

IndiGo operates an all-Airbus fleet of 276 aircraft. The airline's 35 ATR 72-600 turboprops are again manufactured by a JV between Airbus of France and Leonardo of Italy. One of IndiGo's key traits has been to buy Airbus

IN FY21, INDIAN CARRIERS SUFFERED LOSSES OF AROUND ₹19,000 CRORE WHILE AIRPORTS LOST ₹3,400 CRORE